



“The RBI’s stance remains dovish. If global central banks turn accommodative, long-duration Indian bonds could gain significantly”

DEVANG SHAH
HEAD, FIXED INCOME,
AXIS MUTUAL FUND



“Investors who traditionally preferred bank deposits are realising that debt funds offer flexibility in withdrawals and portfolio stability”

MURTHY NAGARAJAN
HEAD, FIXED INCOME, TATA
ASSET MANAGEMENT



“Lowering of the threshold for investing in bonds to ₹1,000 has opened the fixed-income market for retail investors”

VINEET AGRAWAL
CO-FOUNDER, JIRAUF,
A BOND INVESTMENT
PLATFORM

Rate Repo as the main tool for managing short-term liquidity. New frameworks for NBFC lending, MSME credit, and infrastructure finance have improved the credit ecosystem,” says Shah. He adds fiscal consolidation and stable foreign exchange management have also reduced volatility and attracted foreign inflows into the bond

market. Vineet Agrawal, Co-founder of Jiraaf, a bond investment platform, highlights another major change—lowering of the threshold for investing in bonds to ₹1,000. “This has opened the fixed-income market for retail investors. Combined with Sebi’s approval to Online Bond Provider Platforms, individual investors can now buy investment-grade corporate bonds easily and transparently,” he says.

Earlier, most retail investors could access debt markets only through mutual funds. With more retail participation, the liquidity in bond markets will improve substantially, improving the chances of earning better returns from debt funds.

ACTIVE VS PASSIVE

With the rise of Bharat Bond ETFs and other passive debt products, many investors are wondering if passive funds are better than active ones. “Passive products are cost-effective and transparent,” says Agrawal. “However, returns from Bharat Bond ETFs have ranged between 7% and 9%, which is ideal for capital preservation but not for significant growth,” he says.

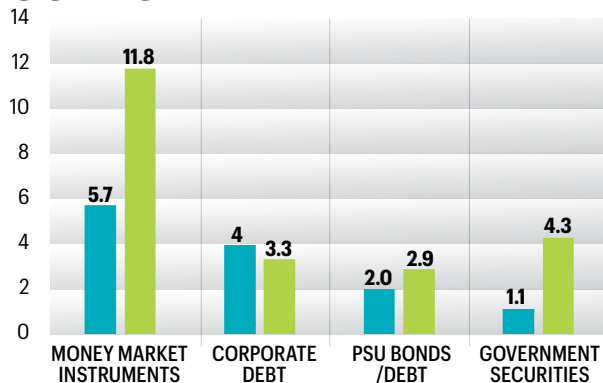
On the other hand, actively managed funds can take advantage of rate cycles and credit opportunities. “Active management is essential in debt because interest rate cycles are short,” says Nagarajan. “Fund managers can reposition portfolios quickly to benefit from changing conditions.” Shah says active strategies help manage duration risk and credit exposure.

FD VS DEBT FUNDS

Retail investors often face confusion while choosing between debt mutual funds, direct bonds, and fixed deposits (FDs), especially after recent tax changes removed the indexation benefit for debt funds. “Some investors have shifted toward FDs or hybrid funds for predictable post-tax returns. But listed corporate bonds now stand on an equal footing with FDs in tax treatment and often deliver 3–4% higher returns without adding much risk,” says Agrawal. This makes investment-grade corporate bonds a good alternative for investors who can choose wisely. Agrawal says “many debt MFs over-diversify, which can dilute returns for small investors. For those comfortable with direct investing, carefully selected AAA to A-rated bonds can offer higher, more predictable income.”

How should investors manage credit risk while

INVESTORS WARY OF CORPORATE DEBT



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■ FY25 AUM (₹ LAKH CRORE)
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